fers in two important ways. First, the state has assumed a market-shaping role, providing computing resources and access to public data to encourage socially beneficial AI use cases. While laudable, a collection of isolated pilots will not deliver systemic change unless guided by a coherent theory of change—one that cannot be left to market actors whose incentives are shaped by efficiency and profit.

Second, India's response to AI harms leans heavily on techno-legal solutions, embedding safeguards directly into systems. While technical controls play a role, they are insufficient to address the broader social, economic and political harms that AI produces. More troublingly, this approach shifts decisions about values, trade-offs and acceptable risk out of democratic debate and into the hands of engineers and firms.

Structural Harms in Focus

By 2025, it had also become clear that AI is not merely generating new risks, but locking in structural harms that may be difficult to reverse. The Grok incident, for example, is an example of the chilling effect that non-consensual image manipulation can have for women—when women and girls are sexualised without consent, withdrawal and self-censorship become rational responses, reducing their participation online and deepening the gendered digital divide.

Inequality is widening between countries and within them. In the Global South, familiar patterns are reasserting themselves: limited ability to capture economic gains, paired with heightened exposure to risk—from exploitative data extraction to poorly tested deployments in public services. Within countries, productivity gains increasingly accrue to capital rather than labour, reinforcing existing power asymmetries.

Children are becoming unwitting participants in a vast social experiment. AI tools are entering classrooms, even as evidence mounts regarding their detrimental effects on cognitive development. Sycophantic companion AI systems risk entrenching echo chambers and weakening the capacity to engage with disagreement, at a time when democratic societies can least afford it.

AI's role in warfare offers the starkest warning. From targeting systems to battlefield analytics, AI is reshaping norms of armed conflict, with little political oversight. Deployments in places like Gaza have shown how quickly technological capability can outpace accountability, with devastating consequences for civilians.

TAKEAWAYS

AI has bred inequality. Nations in the Global South gain little from its economic gains, but are exposed to its risks

Instead of regulating AI, India plays a market-shaping role: providing public data for developmental causes

India, with its emphasis on AI for public services, can set expectations for transparency, accountability and social value

All of this is enabled by an extraordinary concentration of power. A handful of companies now control frontier models and the safety infrastructure meant to govern them, often with little understanding of impacts in the Global South. These risks will only intensify as systems become more autonomous.

Roads to Regulation

So where does this leave us as we look toward 2026? If sweeping regulation remains unlikely, what does a realistic path forward look like? We must recognise that AI is not a single object governed by a single framework. Governance challenges span data rights, labour protections, corporate accountability, environmental standards and public oversight. These are political questions. Progress will require multiple, targeted interventions pursued in parallel.

Building State capacity is essential. Without technical and institutional expertise, regulatory capture is inevitable. Public procurement is another underused lever: when states buy AI systems, they shape markets and can set expectations for transparency and social value.

Corporate governance also matters more than current debates admit. If frontier AI models function as shared infrastructure, there is a strong case for new governance models that give workers and users a real voice.

Professional standards will be critical. Like aviation, AI safety must be built through disclosure, auditing and independent oversight. However, technical testing alone is insufficient. Safety is cultural as much as computational. Evaluations must involve civil society and local communities to capture harms that are invisible in laboratory settings.

Finally, public literacy matters. Democratic debate about AI requires an informed public capable of resisting hype and inevitability. Citizens' assemblies and improved media literacy offer one way to enable collective decision-making.

The lesson of 2025 is not that AI regulation failed because it was too hard, but because competitiveness and technological inevitability were allowed to replace political choice. Grok going rogue should be a warning sign of the irreparable societal damage that will ensue if we continue on this path of deregulation. Reactive crackdowns are no substitute for coherent, rights-based governance. ■

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